Syllabus Edition
First teaching 2025
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Types of Economic Sector

Exam code: 0450, 0986 & 0264, 0774

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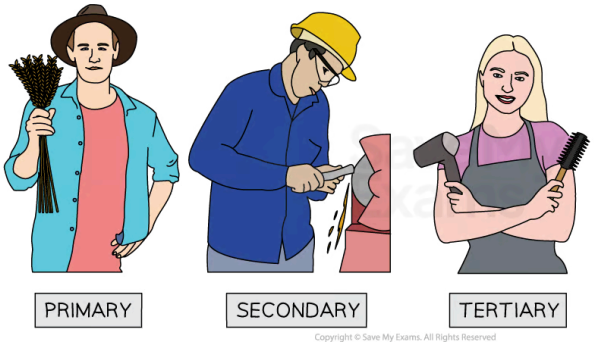
Primary sector

- Businesses can be classified according to the **type of business sector** in which they operate
- This helps provide a means of making **comparisons** between firms in the same sector

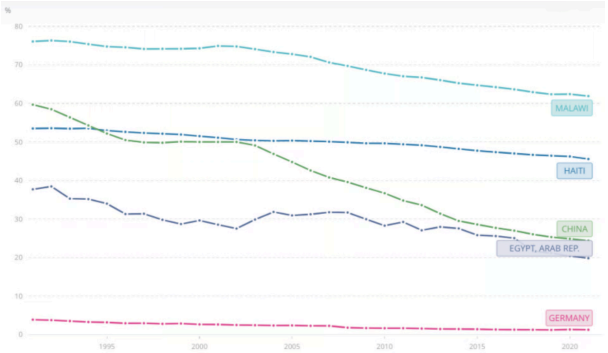


Farming in the primary sector, manufacturing in the secondary sector and hairdressing in the service sector

- The **primary** sector is concerned with the **extraction** of raw materials from land, sea or air
  - Examples include farming, mining or fishing
- **Less developed economies** are primarily focused on the **primary sector,** with most people employed in agriculture and the production of food
  - This is partly as a result of **lower participation rates in education** and a **lack of infrastructure** to support manufacturing or service provision
- Some **developed economies,** such as Australia (viticulture) and Norway (forestry and oil extraction), continue to have significant primary sectors

Help me understand

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it



Employment in primary sector industries in Malawi, Haiti, China, Egypt and Germany since 1991 (Source: WorldBank)

- Malawi has the highest proportion of employment in the primary sector
- China has seen a significant decrease in primary sector activity since 1991
- Germany has a small primary sector with an economy that focused on manufacturing and services well before 1991

Secondary sector

- The **secondary** sector is concerned with the **processing** of raw materials and components
  - Examples include oil refinement and the **manufacture** of goods such as vehicles
- In **emerging economies,** improved technology enables less labour to be needed in the primary sector and more workers to be employed in the secondary sector
  - The proportion of workers employed in manufacturing has risen over the last few decades
  - Many businesses have relocated production facilities to take advantage of the **lower average wage rates** in these economies

Employment in secondary industries in some countries since 1991

Employment in secondary sector industries in China, India, Turkey, Brazil and Ghana since 1991 (Source: WorldBank)

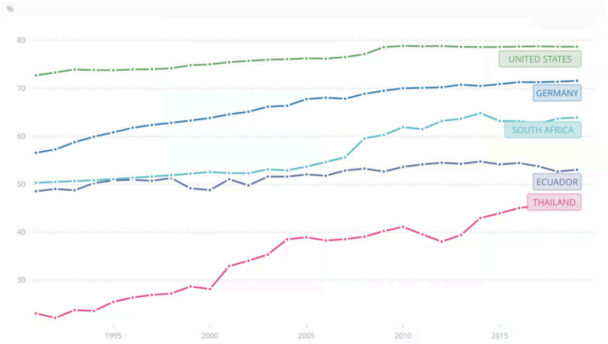
sector activity since 1991
- Brazil and Turkey's secondary sectors remained relatively stable between 1991 and 2019

Tertiary sector

- The **tertiary** sector is concerned with the provision of a wide range **services** for consumers and other businesses such as leisure, banking or **hospitality**
  - It includes a sub-sector called the **quaternary sector**

- **Emerging economies** have experienced growth in the tertiary sector in recent years, with many businesses now focused on the provision of consumer services
- The **most developed economies** have a very high proportion of the workforce employed in the provision of services in the quaternary sector
  - Developed economies use their wealth to fund advanced **education** and **higher-level skills training**, which further supports the growth of these industries

Employment in tertiary industries in some countries since 1991



Employment in tertiary sector industries in the USA, Germany, South Africa, Ecuador and Thailand since 1991 (Source: WorldBank)

- The US and Germany have the highest proportion of their workforces employed in the service industry
- Thailand's service sector employs twice as many employees in 2019 as it did in 1991
- Around half of Ecuador's workforce is now employed in service delivery

Private sector

- **Private sector firms** are owned and controlled by other firms and private individuals (entrepreneurs and shareholders)
- The main objective of many private sector firms is **profit maximisation**

- Types of private sector businesses include sole traders, partnerships and companies

Public sector

- **Public sector firms** are owned and controlled by the government
- Public firms exist to
  - Ensure **public service provision** of goods and services that are not profitable enough to be provided in the private sector
  - Protect **strategic industries** and national security, such as energy production or water supply
  - Create **jobs**
  - Encourage **economic growth**
- Public sector firms can operate on a local, regional or national government level
  - E.g. Transport for London (local); Agricultural State Service in India (regional); Caribbean Airlines (national)
- Some government-owned firms have been **privatised**
  - The government retains a share in them so they can influence decision-making and receive a share of the profits
  - For example, **Singapore Airlines** shares are 55% government-owned and 45% privately-owned

Examiner Tips and Tricks

Don't mix up **primary, secondary** and **tertiary sectors** with **public** and **private sectors** – one refers to *types of production*, the other to *ownership*. Keep these distinctions clear in your answers to avoid losing easy marks

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